

INVESTMENT FORECAST

Marcus & Millichap

HOSPITALITY

Nashville

2026

Supply Relief Emerges in Urban Areas, While Suburban Corridors Navigate Rate Pressure

Downtown demand holds up as new supply shifts outward. Nashville's hotel outlook remains strongest in the urban core, while heightened deliveries and measured travel demand weigh on price-sensitive corridors. Downtown experienced booking growth of more than 5 percent last year, increasing occupancy despite heavy supply additions. Meanwhile, Midtown demand softened. Both areas, however, began 2026 with the fewest rooms under construction in over a decade, easing near-term pressure even amid elevated final planning activity. Interstate and suburban nodes faced weaker demand from cost-conscious travelers last year, prompting limited- and select-service operators to cut rates. In 2026, new supply will concentrate in the south along Interstates 65 and 24, likely extending pressure on performance. Softer inflation and improved business conditions, however, could lift discretionary travel and corporate activity.

Renovation strategies spur deal flow, with extended stay in focus. Hotel trading could build on 2025's strong rebound, led by larger investors, as 100-plus-key transactions neared all-time highs. Much of that activity reflected value-add underwriting, with buyers pricing in deferred CapEx and PIPs to secure a discounted basis. Midtown drew record capital as investors targeted higher-end hotels for under \$300,000 per key. Cost-sensitive buyers favored Brentwood and Franklin, where assets often cleared below \$100,000 per room. Extended-stay hotels drove many suburban trades as leaner operating models support stronger cash flow and debt coverage in a high-rate environment. Demand from construction crews, travel nurses, and relocating employees should support this segment. However, Tennessee now applies occupancy tax to the first 30 days of short-term rental stays, narrowing the tax break on longer stays.

2026 MARKET FORECAST

+3.7%



Supply: Inventory expansion will edge up from last year, marking the fifth straight year Nashville ranks among the top five major markets for supply growth. For the first time since 2019, outer areas will lead supply gains, rather than Downtown and Midtown.

-120 bps



Occupancy: Rising hotel supply and moderate demand growth push occupancy down to 64.4 percent. Suburbs such as Murfreesboro and Brentwood will see the steepest declines as new rooms deliver, while the urban core and the area around BNA outperform.

+0.7%



ADR: The metro's ADR is expected to tick up slightly as limited- and select-service hotels see more stable conditions, bringing the rate to \$175.53, the highest ADR among inland, non-resort markets.

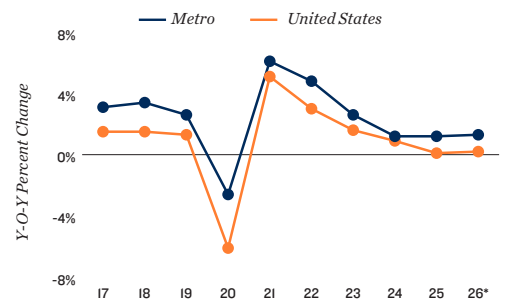
-1.2%



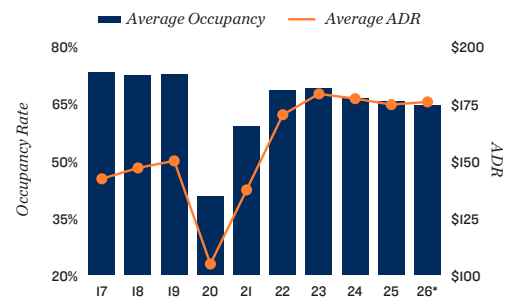
RevPAR: Declining occupancy offsets modest ADR growth, bringing RevPAR down to \$112.97 — still about 4 percent above the pre-pandemic peak, despite falling for three straight years.

INVESTMENT: *The Fairgrounds Speedway secured a 2025 labor agreement for renovations aimed at bringing NASCAR back for the first time since 2000. Pending final approvals, the project could lift nearby hotel demand.*

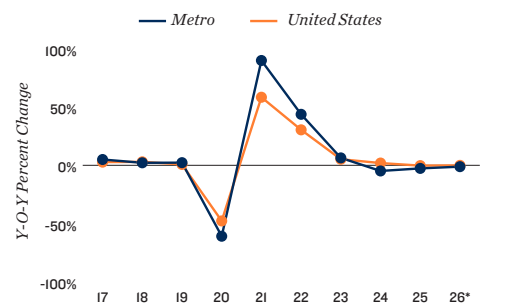
Employment Trends



Occupancy & ADR Trends



RevPAR Trends



* Forecast

Sources: BLS; CoStar Group, Inc.; Real Capital Analytics

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Metro-level employment, vacancy and effective rents are year-end figures and are based on the most up-to-date information available as of March 2026. Average prices and cap rates are a function of the age, class and geographic area of the properties trading and therefore may not be representative of the market as a whole. Forecasts for employment and Hospitality data are made during the first quarter and represent estimates of future performance. No representation, warranty or guarantee, express or implied, may be made as to the accuracy or reliability of the information contained herein. This is not intended to be a forecast of future events and this is not a guarantee regarding a future event. This is not intended to provide specific investment advice and should not be considered as investment advice.